PAPER CODE – 09

3545

Time : 3 Hours

Max Marks : 100

Note: Question 1 and 6 are compulsory. Attempt any 3 each from Part-A and Part-B. In case of any doubt, the English version shall be taken as authentic. Wherever Assessment Year is not given, it may be taken as A.Y. 2025-26. In case of any other doubt, make suitable assumptions and highlight the same in your answer.

PART – A

Q. 1. Mr. Kamal, a resident individual aged 48 years, is working at a senior management position in a private bank since past 20 years. During the previous year 2023-24, he received the following emoluments from the employer:

a) Basic Salary ₹3,50,000 per month.
b) Client entertainment reimbursement of ₹20,000 per month out of which he submitted bills for ₹2,00,000 for the relevant year.
c) Leave travel allowance of ₹4,00,000 per annum. He took a trip to Goa with his spouse and two children in December 2023, for which plane boarding tickets of ₹1,00,000 and hotel bookings of ₹3,00,000 were submitted to the employer.
d) Performance bonus amounting to 20% of annual basic salary.
e) He is eligible to take a staff housing loan upto ₹20,00,000 at a concessional rate of 2.5% p.a. He availed a housing loan of ₹15,00,000 out of the same on 1st June 2023. No repayment of loan has been made during the F.Y. 2023-24. The lending rate of SBI as on 1.4.2023 for housing loan may be taken as 8% P.A.
f) The Bank also allotted 1,500 sweat equity shares to Mr. Kamal in May 2023 at the rate of ₹ 1,300 per share. The Fair market value of the share was ₹ 1,500 per share on the date of exercise of option by Mr. Kamal. He sold all the shares for ₹ 2,100 per share on 31.03.2024 on recognised stock exchange. Assume Securities transaction tax has been paid.

The following transactions were made by Mr. Kamal during the previous year 2023-24:

a) He earned rental income of ₹35,000 per month from a 3 BHK residential flat situated at Delhi. He purchased the said flat for ₹ 45 Lakhs in June, 2023 using the housing loan availed from the employer and his own savings. It was let out from July, 2023. Municipal taxes of ₹ 12,000 for F.Y. 2023-24 was paid by Mr. Kamal.

b) He invested ₹ 30,00,000 in RBI Floating Rate Savings Bonds on 1st September 2023 earning an Interest of 7% p.a. Interest is credited half yearly on 1st January and 1st July every year. (Assume receipt basis for taxation)

c) He also paid LIC premium of ₹ 15,000 for self, ₹ 20,000 for wife and ₹ 30,000 for dependent father, aged 75 years. Medical insurance premium paid on the health of dependent brother and major dependent son amounted to ₹ 5,000 (paid by cheque) and ₹10,000 (paid in cash), respectively.

d) In December 2023, he earned dividend income of ₹5,00,000 (gross) on shares of the bank held by him.

You are required to compute his total income and tax liability for the assessment year 2024-25, clearly showing all workings. (Ignore section 115BAC provisions)

(20 Marks)

Q.2 (a) Mr. Shakeel owns a house property in Kerala. During F.Y. 2024-25, the ground floor of the house is let out @ Rs. 20,000 p.m. The first floor is identical to ground floor, is self-occupied by him for his residence. Mr. Shakeel has paid municipal taxes of Rs. 1,20,000/- @ 20% of the municipal value for the F.Y. 2024-25. Mr. Shakeel had taken a loan of Rs. 50,00,000/- in April 2020 for construction of the house and construction was completed in July 2023. He has and is paying interest @10% per annum every month. Compute the taxable income of Mr. Shakeel under the head 'Income from House property assuming that the fair rent of the property is lower than the municipal value and the standard rent is greater than the municipal value.

(5 Marks)

2(b) Mr. Raju retired from his job with effect from 01.04.2019. He had joined the service on 01.01.2003. He got an increment in his basic salary amounting to Rs. 1,000/- every year on January 1. At the time of his retirement, he was getting a basic salary of Rs. 20,000 p.m. he was also entitled to dearness allowances @ 10% of basic salary (which forms part of salary for retirement benefits) and commission on turnover @ 1% of the total sales achieved by him. His turnover for the 12 months ending on 01-08-2019 was rs. 12,00,000/-. He received a sum of Rs. 3,20,000/- as gratuity on the date of his retirement. Compute the amount of gratuity taxable for the assessment year 2020-21 assuming that the sales occurred evenly during 12 months period.

(5 Marks)

Q.3(a) Smt. Rajalakshmi owns a house property at Adyar in Chennai. The municipal value of the property is ₹ 5,00,000, fair rent is ₹ 4,20,000 and standard rent is ₹ 4,80,000. The properly was let-out for ₹ 50,000 p.m. up to December 2024 Thereafter, the tenant vacated the property and Smt. Rajalakshmi used the house for self-occupation. Rent for the months of November and December 2024 could not be realised in spite of the owner's efforts. All the

conditions prescribed under Rule 4 are satisfied. She paid municipal taxes @12% during the year. She had paid interest of ₹ 25,000 during the year for amount borrowed for repairs for the house property. Compute her income from house property for the A.Y. 2025-26

(5 Marks)

3(b) Ms. Geeta, a resident individual, provides the following details of her income/losses for the year ended 31.3.2025:

(i) Salary received as a partner from a partnership firm₹7,50,000. The same was allowed to the firm.
(ii) Loss on sale of shares listed in BSE ₹3,00,000. Shares were held for 15 months and STT paid on sale and acquisition.
(iii) Long-term capital gain on sale of land ₹5,00,000.
(iv) ₹51,000 received in cash from friends in party.
(v) ₹ 55,000, received towards dividend on listed equity shares of domestic companies.
(vi) Brought forward business loss of assessment year 2023-24 is ₹ 12,50,000.

Compute gross total income of Ms. Geeta for the Assessment Year 2025-26 and ascertain the amount of loss that can be carried forward.

(5 Marks)

Q.4 If the stay in India of Mr. Ricky Ponting, an ex-Australian Cricket player and citizen of Australia over the last eleven years is as follows:

Sr. No.	F.Y.	Stay in India during the year (days)
1.	2024-25	65
2.	2023-24	140
3.	2022-23	120
4.	2021-22	130
5.	2020-21	55
6.	2019-20	30
7.	2018-19	62
8.	2017-18	210
9.	2016-17	50
10	2015-16	59
11.	2014-15	51

Determine the residential status of Mr. Ricky Ponting for FY. 2024-25?

(10 Marks)

Q.5 Mr. Ramesh & Mr. Suresh are brothers and they earned the following incomes during the financial year 2024-25. Mr. Ramesh settled in Canada in the year 1996 and Mr. Suresh settled

in Delhi. Compute the total income for both of them for the A.Y. 2025-26, assuming that they have exercised the option of shifting out of the default tax regime provided u/s 115BAC(1A) –

Sr. No.	Particulars	Mr. Ramesh (₹)	Mr. Suresh (₹)
1	Interest on Canada Development Bonds (only 50% of interest received in India)	35000	40000
2	Dividend from British company received in London	28,000	20,000
3	Profits from a business in Nagpur, but managed directly from London	1,00,000	1,40,000
4	Short term capital gain on sale of shares of an Indian company received in India	60,000	90,000
5	Income from a business in Chennai	80,000	70,000
6	Fees for technical services rendered in India, but received in Canada	1,00,000	----
7	Interest on savings bank deposit in UCC Bank, Delhi	7,000	12,000
8	Agricultural income from a land situated in Andhra Pradesh	55,000	45,000
9	Rent received in respect of house property at Bhopal	1,00,000	60,000
10	Life insurance premium paid	-----	30,000

(10 Marks)

Part - B

Q.6 Following is the Receipts and Payments account of Pune Medical Aid Society for the year ended 31.03.2025.

Receipts and Payments Account for the year ended 31.03.2025

Receipts	Amount	Payments	Amount
To Opening cash in hand	12,000	By Medicine supply	35,000
To Subscription	65,000	By Honorarium to Doctors	15,000
To Donations	25,000	By Salaries	36,000
To Interest on Investment (10%)	10,000	By Sundry expenses	950
To Charity show collection	16,500	By Purchase of Medical equipment	25,000

		By Charity show expenses	2,750
		By Closing Cash in hand	13,800
	1,28,500		1,28,500

The following is the additional information provided.

	01-04-2024	31-03-2025
	Amount (₹)	Amount (₹)
Subscription due	2,500	3,100
Subscription received in advance	1,800	1,400
Stock of medicine	12,500	17,250
Amount due for medicine supply	12,000	16,500
Value of equipment	21,500	37,200
Value of building	65,000	61,750

You are required to prepare Income and Expenditure account and Balance sheet as on 31-03-2025.

(20 Marks)

Q.7 X Ltd. purchased on 1st January 2018 a second-hand plant for Rs. 60,000/-, immediately spent Rs. 40000/- in putting the same in working condition. On 1st July, 2018 additional machinery costing Rs. 40,000/- was purchased. On 1st January, 2020 the plant purchased on 1st January 2018 became obsolete and was sold for Rs. 50000/-. On 1st July 2020, new machinery was purchased at a cost of Rs. 1,20,000/-. The firm provided depreciation on straight line method at 10% per annum on the original cost of the assets. In 2022, the company decided to provide depreciation on a written-down value basis at 15% p.a. Show the Plant and Machinery Account for the calendar years 2018 to 2022.

(10 Marks)

Q.8 Prepare Trading, Profit and Loss Account and Balance Sheet from the following Trial Balance of Mrs. Pooja as on 31.03.2024.

Debit Balance	**Rs.**	**Credit Balance**	**Rs.**
Sundry debtors	1,02,000	Sales	3,57,000
Plant Machinery	25,000	Mrs Pooja's Capital	72,000
Interest	1,500	Purchase return	2,600
Rent, rates, taxes &insurance	6,500	Sunday creditors	81,410
Conveyance Charges	1,320	Bank overdraft	20,000
Wages	7,000		

Sales return	5,400		
Purchases	2,52,000		
Opening Stock	65,000		
Mrs Pooja's Drawing	22,000		
Trade Expenses	1,350		
Salaries	11,200		
Advertising	840		
Discount	600		
Bad debts	800		
Business premises	12,000		
Furniture and Fixtures	10,000		
Cash in hand	8,500		
	5,33,010		~~6,31,010~~ 5,33,010

Adjustments:

(i) Closing Stock On hand- Rs. 98,000/-

(ii) Mr. X - one of the sundry creditors of the assessee has written off the credit amount of Rs. 5000/- receivable from the Mrs Pooja.

(iii) Provide depreciation on premises at 5%, plant and machinery at 15% and furniture and fixtures at 10%.

(iv) Write-off Rs. 1200/- as further bad debts.

(v) Provide for doubtful debts at 5% on sundry debtors.

(vi) Outstanding rent was Rs. 700/- and outstanding Wages were Rs. 1000/-.

(vii) Prepaid insurance Rs. 700/- and Prepaid salaries Rs. 500/-.

(10 Marks)

Q.9(a) The partnership deed of a firm consisting of 3 partners -P, Q and R (profit sharing ratio being 2:1:1) and whose fixed capitals are ₹ 30,000, ₹ 12,000 and ₹ 8,000 respectively provides as follows:

(i) The partners be allowed interest @ 8% p.a. on their fixed capitals, but no interest to be allowed on undrawn profits or charged on drawings.

(ii) That upon the death of a partner, the goodwill of the firm be valued at 2 years purchase of the average net profit (after charging interest on capital) for the 3 years to 31st December preceding the death of a partner.

(iii) That an insurance policy of ₹25,000 each was taken in individuals names of each partner. The premium was charged against the profits of the firm. The surrender value of the policy was 20% of the sum assured.

(iv) Upon the death of a partner, he is to be credited with his share of the profits, interest on capitals, etc. calculated up-to 31st December following his death.

(v) That the share of the partnership policy and goodwill be credited to a deceased partner as on 31st December following his death.

(vi) That the partnership books to be closed annually on 31st December.

P died on 30th September, 2020. The amount standing to the credit of his current account as on 31st December, 2019 was₹ 5,000 and from that date to the date of death he had withdrawn ₹ 30,000 from the business.

An unrecorded liability of ₹ 6,000 was discovered on 30th September, 2020 and it was decided to record it and immediately pay it off.

The trading results of the firm (before charging interest on capital) had been as follows:

2017: Profit ₹ 29,340
2018: Profit ₹ 26,470
2019: Loss ₹ 8,320
2020: Profit ₹ 13,470

You are required to prepare an account showing amount due to P's legal heir as on 31st December, 2020.

Note: Impact for unrecorded liability not to be given in earlier years.

(5 Marks)

Q.9(b) Dheeraj Limited had 5,000 10% Redeemable Preference Shares of ₹ 100 each, fully paid up. The company had to redeem these shares at a premium of 10%.

It was decided by the company to issue the following:

(i) 40,000 Equity Shares of ₹ 10 each at par

(ii) 2,000 12% Debentures of ₹ 100 each.

The issue was fully subscribed and all accounts were received in full. The payment was duly made. The company had sufficient profits. Show journal entries in the books of the company.

(5 Marks)

Q.10 Mr. Raju, a manufacturer at Chennai, gives the following Manufacturing. Trading and Profit & Loss Account for the year ended 31.03.2025:

Manufacturing, Trading and Profit & Loss Account for the year ended 31.03.2025.

Particulars	₹	Particulars	₹
To Opening Stock	71,000	By Sales	2,32,00,000
To Purchase of Raw Materials	2,16,99,000	By Closing stock	2,00,000
To Manufacturing Wages & Expenses	5,70,000		
To Gross Profit	10,60,000		
	2,34,00,000		2,34,00,000

To Administrative charges	3,26,000	By Gross Profit	10,60,000
To SGST penalty	5,000	By Dividend from domestic companies	15,000
To GST paid	1,10,000	By Income from agriculture (net)	1,80,000
To General Expenses	54,000		
To Interest to Bank (On machinery term loan)	60,000		
To Depreciation	2,00,000		
To Net Profit	5,00,000		
	12,55,000		**12,55,000**

Following are the further information relating to the financial year 2024-25:

(i) Administrative charges include ₹46,000 paid as commission to brother of the assessee. The commission amount at the market rate is ₹36,000.

(ii) The assessee paid ₹33,000 in cash to a transport carrier on 29.12.2024. This amount is included in manufacturing expenses. (Assume that the provisions relating to TDS are not applicable to this payment)

(iii) A sum of ₹4,000 per month was paid as salary to a staff throughout the year and this has not been recorded in the books of account.

(iv) Bank term loan interest actually paid upto 31.03.2025 was ₹20,000 and the balance was paid in November 2025.

(v) Housing loan principal repaid during the year was ₹ 50,000 and it relates to residential property acquired by him in P.Y. 2023-24 for self-occupation. Interest on housing loan was ₹23,000. Housing loan was taken from Canara Bank. These amounts were not dealt with in the profit and loss account given above.

(vi) Depreciation allowable under the Act is to be computed on the basis of following information:

Plant & Machinery (Depreciation rate @ 15%)	
WDV (as on 31.03.2023)	14,00,000
Less: Depreciation for P.Y. 2023-24	2,10,000
Additions during the year (used for more than 180 days)	2,00,000
Total additions during the year	4,00,000

Compute the total income of Mr. Raju for the assessment year 2025-26 assuming he paid taxes under default tax.

Note: Ignore application of section 14A for disallowance of expenditures in respect of any exempt income.

(10 Marks)

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